

Interest Rate Derivatives

2026 Mid-Year Outlook

- Interest rate derivatives markets have been dominated by headlines in 1H26, with topics ranging from AI to deregulatory developments and, of course, the Middle East conflict, which has become the dominant narrative since its onset
- Swap yields have repriced higher in a large bear-flattening move, mostly due to both short- and medium-term Fed expectations repricing hawkishly. Implied distributions also reflect the elevated policy rate path expectations, as the modal outcome has shifted higher, and a significant right tail formed at the beginning of the conflict. Based on fundamentals, we expect swap curves to remain around their current levels at YE26, in line with what forwards are pricing in
- Swap spreads have traded in a wide range since the start of the year. Outside of the geopolitical backdrop, we saw multiple themes that impacted the spread curve and that we expect to remain relevant in 2H26: 1) carry-seeking strategies, which gained popularity amidst low delivered spread volatility earlier in the year; 2) the appointment of Kevin Warsh as Fed chair and his balance sheet policy; 3) an improving deregulatory backdrop; and 4) issuance expectations
- We incorporate these factors into our updated fair value framework for term funding premium and zero-duration spread; we project swap spreads to be modestly wider at year end
- Regarding options, the first couple of months of 2026 continued to see a decline in volatility until implieds repriced sharply higher across the surface, particularly in the upper left, in response to growing AI fears and then the Middle East conflict
- In shorter expiries, our YE26 projections point to lower implieds in the upper left, while we expect other tails to remain broadly stable. In longer expiries, our projections point to slightly higher implieds across the surface, with the largest increase in belly tails
- We present a preliminary analysis of the impact of President Trump's social media posts on intraday volatility in rates markets. We find that the president's posts about the Middle East conflict are associated with significant moves in 2Y yields within the hour following the post, indicating that the president's tendency to communicate significant decisions directly via social media may be a source of elevated intraday volatility

Headline ping-pong

It has been an eventful and unusual year thus far, with the Middle East conflict and AI dominating headlines and markets. However, these topics do not encompass all that happened. To name a few market-moving events, the IEEPA tariffs were struck down by the Supreme Court, President Trump urged the GSEs to grow their portfolios, proposals for Basel III Endgame (B3E) and GSIB were released, Kevin Warsh was nominated and confirmed as the new Fed chair, and former Fed Chair Jerome Powell indicated that he would remain on the board after his term as Chair ended. That said, the Middle East conflict has dominated headlines since its beginning at the end of February, and the associated concerns about inflation and growth due to the elevated price of oil have been key drivers of markets. As of the time of this publication, there have been reports of an interim peace deal between the US and Iran but no definitive confirmation that a deal has been signed.

In market moves, swap yields declined until late February before sharply reversing those moves at the start of the Middle East conflict. Yields now sit higher across the curve, with

the 2Y up ~70bp and 10Y up ~32bp, and swap curves have flattened across various forwards and maturities (**Figure 1**). Markets have gone from pricing in 2-3 cuts for the year to pricing a Fed on hold. Part of the cuts that were priced in were expectations of a dovish Fed chair ([First thoughts on Chair Warsh](#), M. Feroli, 1/30/2026), as well as a labor market that hadn't quite stabilized. The Middle East conflict completely upended this narrative, as Fed expectations repriced higher on the back of oil-related inflationary concerns. This can be clearly seen from **Figure 2**, which shows the time evolution of the implied distribution inferred from options on SOFR futures. We use the third SOFR futures contract for a given date, meaning that the implied distribution reflects the market's expectations for where SOFR (and thus approximately fed funds) will be 6-9 months in the future. Prior to the conflict, the modal outcome was ~1 cut, and the distribution was asymmetric, assigning a higher probability to cuts than hikes. Shortly after the conflict started, the implied distribution widened abruptly, and a high-rate tail developed (see also [Writing's on the vol](#), Interest Rate Derivatives, *US Fixed Income Markets Weekly*, 3/6/2026). Over the course of the conflict, as inflationary concerns have intensified, complemented by strong labor market data ([Springtime hiring shows some pep](#), M. Feroli, 6/5/2026), rates have continued to sell off; the modal outcome has drifted higher, and policy uncertainty remains elevated, as the distribution remains wide.

Figure 1: Yields have repriced higher across the curve since the start of the year, with the front end underperforming

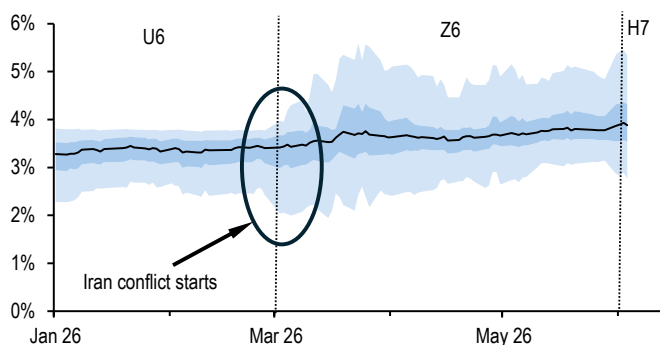
Selected statistics for SOFR swap yields (%) and swap yield curves (bp), 1/2/2026 - 6/11/2026

	Start	Change	End	Min	Mean	Median	Max	Range
2y	3.31	0.62	3.93	3.20	3.58	3.59	4.01	0.81
3y	3.34	0.57	3.92	3.16	3.56	3.55	4.00	0.84
5y	3.47	0.44	3.91	3.23	3.62	3.60	4.05	0.81
7y	3.62	0.35	3.96	3.35	3.72	3.70	4.12	0.77
10y	3.81	0.25	4.06	3.53	3.87	3.86	4.24	0.70
20y	4.18	0.10	4.28	3.89	4.17	4.17	4.47	0.59
30y	4.18	0.06	4.24	3.90	4.15	4.16	4.43	0.53
2s/5s	15.9	-17.8	-1.9	-5.5	4.3	1.2	16.1	21.6
2s/10s	50.1	-37.5	12.6	11.4	29.5	25.5	50.1	38.7
2s/30s	86.7	-56.4	30.3	25.8	57.7	52.9	87.3	61.5
5s/10s	34.2	-19.7	14.5	11.4	29.5	52.9	87.3	75.9
5s/30s	70.8	-38.6	32.2	27.3	53.4	52.8	72.4	45.1
10s/30s	36.6	-18.9	17.7	14.4	28.2	28.1	38.2	23.8

Source: J.P. Morgan

Figure 2: Market expectations for the Fed changed abruptly at the start of the Middle East conflict, with a previously non-existent high-rate tail developing; the modal outcome has drifted higher over the year, and policy uncertainty remains high

Time evolution of the implied distribution* inferred from 3M SOFR futures options; on any given date, we use the third SOFR futures contract**. Black line indicates median; dark and light blue shaded regions indicate 25th-75th and 5th-95th percentile ranges, respectively. Data from 1/2/2026 - 6/4/2026



* We compute call premiums for a broad range of strikes and apply the Breeden-Litzenberger method to infer the risk-neutral probability density function. We then use this to compute the market-implied probabilities of different Fed outcomes. See [Interest Rate Derivatives 2026 Outlook](#), 11/25/2025 for full details. Implied distributions computed daily are included in the US Interest Rate Derivatives Package, available via [J.P. Morgan Markets](#)

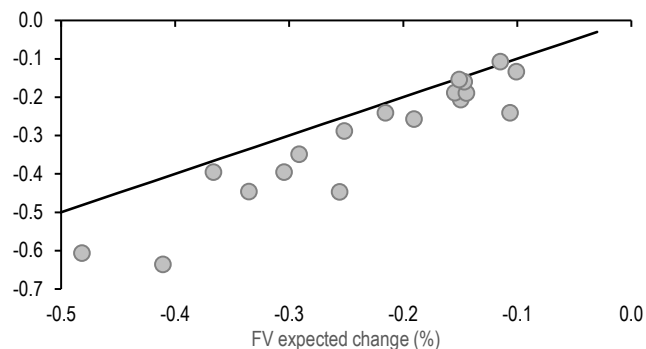
** Contract used annotated at top of chart; roll dates marked with vertical black dotted lines
Source: J.P. Morgan

Given this backdrop, we investigate what driver(s) may have been responsible for the sharp flattening of the swap yield curve. For this purpose, we turn to our current swap curve empirical fair value model, which includes both short- and medium-term Fed expectations as drivers ([Interest Rate Derivatives 2026 Outlook](#), 11/25/2025). We find that our model did well in explaining the changes across swap curves, as it was able to capture the moves directionally in all cases, and while curves flattened more than our model would have expected, this can be explained in part by residual convergence, as curves appeared too steep with respect to our model earlier in the year (**Figure 3**). Most of the flattening was driven by the increase

in Fed expectations, both near-term and medium-term, as medium-term Fed expectations repriced from pricing in two cuts to pricing in slightly more than one hike over the course of three months (**Figure 4**).

Figure 3: Swap curves have flattened more than expected by our fair value model

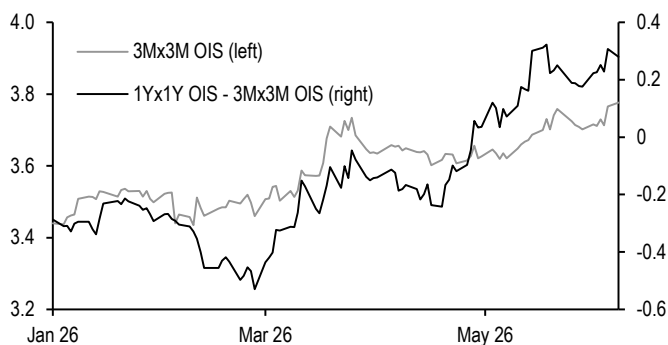
Actual change in swap yield curve (%) vs. expected change* from our empirical fair value model (%) from 1/2/2026 - 6/11/2026



* Factor impacts are calculated by multiplying the change in each driver over the time period times its beta from our fair value model and then summing these quantities to calculate the expected change. For details on our (old) fair value framework for the swap yield curve, see [Interest Rate Derivatives 2026 Outlook](#), 11/25/2025
Source: J.P. Morgan

Figure 4: Both short-term and medium-term Fed expectations have repriced higher since the beginning of the year

3Mx3M OIS rate (left, %) and 1Yx1Y - 3Mx3M OIS rate (right, %), 1/2/2026 - 6/11/2026



Source: J.P. Morgan

As Figure 3 shows, our framework worked reasonably well at explaining the behavior of swap curves over this year, but we find that we are able to improve the model by replacing the 1Yx1Y inflation swap rate with the 5Yx5Y inflation swap rate. With two Fed expectations factors in our curve model that primarily influence front-end swap rates, the 1Yx1Y inflation swap rate has proven to be redundant. We prefer the 5Yx5Y inflation swap rate as a structural long-term inflation proxy, as it should primarily affect the curve through the term premium channel, and this factor provides information that is not captured by other factors in the model. The 5Yx5Y inflation swap rate has also proven to be a more consistent and more significant predictor across swap curves. We show our updated empirical swap yield curve model in **Figure 5**.

Figure 5: Our updated empirical fair value model for swap curves

Statistics from regressing* various spot and forward SOFR swap curves against 5 drivers**, model T-stats, R-squared, and standard error

Curve	Coefficients						T-stats						Model stats	
	Intercept	3Mx3M OIS	1Yx1Y - 3Mx3M OIS	Fed B/S	5Yx5Y infl	Intercept shift	Intercept	3Mx3M OIS	1Yx1Y - 3Mx3M OIS	Fed B/S	5Yx5Y infl	Intercept shift	R-squared	Std Err
3M fwd 2s/5s	2.02	-0.24	-0.06	-0.25	0.25	-0.01	30.0	-77.4	-9.6	-61.9	8.5	-1.8	95.4	0.08
3M fwd 2s/10s	2.89	-0.39	-0.21	-0.37	0.47	0.14	29.5	-87.5	-23.7	-62.5	11.1	12.6	95.8	0.11
3M fwd 2s/30s	3.61	-0.56	-0.38	-0.48	0.69	0.40	31.9	-107.5	-37.9	-70.1	14.0	31.3	97.1	0.13
3M fwd 5s/10s	0.87	-0.15	-0.15	-0.12	0.22	0.15	22.4	-86.3	-43.3	-50.2	13.3	35.0	95.1	0.04
3M fwd 5s/30s	1.59	-0.32	-0.32	-0.23	0.44	0.42	23.0	-100.6	-52.8	-54.5	14.7	53.1	96.6	0.08
3M fwd 10s/30s	0.72	-0.16	-0.17	-0.11	0.22	0.26	17.2	-85.8	-46.9	-43.2	11.9	55.0	95.7	0.05
1Y fwd 2s/5s	1.40	-0.19	-0.22	-0.17	0.19	0.06	24.4	-72.6	-42.7	-48.1	7.4	9.9	91.7	0.07
1Y fwd 2s/10s	1.91	-0.30	-0.38	-0.24	0.37	0.24	22.9	-79.5	-51.8	-47.4	10.2	25.4	93.3	0.10
1Y fwd 2s/30s	2.40	-0.44	-0.56	-0.32	0.56	0.49	24.2	-97.8	-64.2	-53.7	12.9	43.7	95.8	0.11
1Y fwd 5s/10s	0.51	-0.11	-0.17	-0.07	0.18	0.18	15.5	-75.1	-57.0	-36.4	12.8	47.0	93.5	0.04
1Y fwd 5s/30s	1.00	-0.25	-0.35	-0.15	0.37	0.43	15.7	-86.5	-61.2	-40.2	13.3	58.9	95.4	0.07
1Y fwd 10s/30s	0.49	-0.14	-0.18	-0.08	0.19	0.25	11.8	-73.7	-49.1	-33.0	10.3	53.5	94.1	0.05
2Y fwd 2s/5s	0.50	-0.10	-0.17	-0.06	0.13	0.13	12.4	-55.7	-46.5	-25.2	7.4	27.6	86.9	0.05
2Y fwd 2s/10s	0.66	-0.17	-0.28	-0.08	0.25	0.31	10.4	-56.6	-50.2	-22.1	8.8	43.0	89.6	0.07
2Y fwd 2s/30s	0.91	-0.28	-0.43	-0.14	0.39	0.54	10.6	-70.8	-56.7	-27.2	10.6	55.6	93.4	0.10
2Y fwd 5s/10s	0.16	-0.06	-0.12	-0.02	0.12	0.18	5.6	-46.7	-45.5	-13.5	9.1	55.7	89.7	0.03
2Y fwd 5s/30s	0.40	-0.17	-0.26	-0.08	0.26	0.41	6.5	-61.0	-47.5	-21.0	9.8	58.4	92.5	0.07
2Y fwd 10s/30s	0.24	-0.11	-0.14	-0.05	0.15	0.23	5.8	-57.9	-38.8	-21.8	8.1	47.8	91.2	0.05

* Regression from Jun 2021 - Jun 2026

** Underlying drivers are: 3Mx3M OIS rate (%), 1Yx1Y - 3Mx3M OIS curve (%), size of the Fed balance sheet (\$tn), 5Yx5Y inflation swap yield (%), and an intercept shift (which has a value of 0 before 4/2/2025 and a value of 1 after)

Source: J.P. Morgan

Using our new fair value framework, we can project our expectations for the evolution of the swap curve through 2H26 and compare with what's priced into forwards. We assume our economists' forecasts for the Fed rate path will be realized in our projections for Fed expectations, we assume that the Fed B/S will grow as detailed below, and we use our inflation strategists' projections for the 5Yx5Y inflation swap rate. **Given that most of our driver projections for YE26 are similar to their current values, we expect swap curves to remain relatively stable in the latter half of this year, which is also consistent with what forwards are pricing in (Figure 6).** Because swap curves have been highly driven by changes in Fed expectations in the first half of 2026, we would look to trade the swap yield curve in a manner that hedges out the exposure to Fed expectations while also providing some relative value.

Figure 6: We expect swap curves to remain stable in 2H26, which is also what forwards are pricing in

Swap yield curve levels, fair value, and residual for the current period (6/11); YE26 projections from forwards as well as our fair value model (assuming 50% residual convergence); impact** of changes in drivers on the swap yield curve projections; and % priced into current forwards**

	Current level	Current residual	Factor Impact				FV expected change	YE26 projection	YE26 fwd pricing
			3Mx3M OIS	1Yx1Y - 3Mx3M OIS	Fed B/S	5Yx5Y infl. swap			
3M fwd 2s/5s	-0.03	-0.03	0.00	0.00	-0.02	0.03	0.01	-0.02	-0.02
3M fwd 2s/10s	0.12	-0.02	0.00	-0.01	-0.02	0.05	0.02	0.14	0.12
3M fwd 2s/30s	0.28	0.05	0.00	-0.02	-0.03	0.08	0.03	0.31	0.23
3M fwd 5s/10s	0.15	0.01	0.00	-0.01	-0.01	0.03	0.01	0.16	0.14
3M fwd 5s/30s	0.31	0.07	0.00	-0.01	-0.01	0.05	0.02	0.33	0.25
3M fwd 10s/30s	0.16	0.04	0.00	-0.01	-0.01	0.03	0.01	0.17	0.11
1Y fwd 2s/5s	0.01	0.01	0.00	-0.01	-0.01	0.02	0.00	0.01	0.05
1Y fwd 2s/10s	0.18	-0.02	0.00	-0.02	-0.01	0.04	0.01	0.19	0.22
1Y fwd 2s/30s	0.31	0.01	0.00	-0.02	-0.02	0.06	0.02	0.33	0.29
1Y fwd 5s/10s	0.17	-0.03	0.00	-0.01	0.00	0.02	0.01	0.18	0.17
1Y fwd 5s/30s	0.30	0.01	0.00	-0.02	-0.01	0.04	0.02	0.31	0.25
1Y fwd 10s/30s	0.13	0.04	0.00	-0.01	0.00	0.02	0.01	0.14	0.08
2Y fwd 2s/5s	0.10	-0.02	0.00	-0.01	0.00	0.02	0.00	0.10	0.11
2Y fwd 2s/10s	0.29	-0.04	0.00	-0.01	0.00	0.03	0.01	0.30	0.30
2Y fwd 2s/30s	0.37	0.07	0.00	-0.02	-0.01	0.05	0.02	0.39	0.32
2Y fwd 5s/10s	0.19	-0.05	0.00	-0.01	0.00	0.01	0.01	0.20	0.18
2Y fwd 5s/30s	0.27	0.07	0.00	-0.01	0.00	0.03	0.01	0.28	0.20
2Y fwd 10s/30s	0.08	0.03	0.00	-0.01	0.00	0.02	0.01	0.08	0.02
Drivers as of 6/11			3.74	0.21	6.77	2.38			
Driver projections			3.75	0.25	6.83	2.50			
Chg			0.01	0.04	0.06	0.12			

* Projections use our fair value model defined in the previous figure and the following assumptions: (i) we assume that our economists' forecast for the projection of short rates is realized. (ii) The 3Mx3M/1Yx1Y OIS curve uses an empirical regression on UST yields and our UST strategists' projections for said yields. (iii) Our inflation strategists' forecast is used for the 1Yx1Y inflation swap rate. (iv) Our Fed balance sheet forecast is used for the size of the Fed balance sheet.

** We decompose our projection for the yield via the fair value model factors by multiplying the projected change in the driver by the relevant coefficient in the fair value model discussed above

Source: J.P. Morgan

Swap spreads

In the first half of the year, swap spreads were driven by a confluence of factors. The first two months of the year saw low volatility in rates markets, as the Fed was expected to be on hold for at least the first half of 2026. Such low-volatility environments are attractive for carry-seeking trades, which investors had expressed in swap spreads. The start of the Middle East conflict at the end of February resulted in elevated volatility, causing long-end swap spreads to tighten abruptly, reaching their tights in late March, as carry-seeking positions were unwound. Overall, front-end spreads are slightly wider over the first half of the year, while long-end spreads are slightly narrower, as the swap spread curve has flattened by 6bp (**Figure 7**). However, this masks the volatility in swap spreads, as the long end has traded within a range of 20-25bp over the past six months.

Figure 7: The swap spread curve has flattened since the beginning of the year, and spreads have traded in wide ranges, particularly in the long end

Select statistics on benchmark maturity-matched SOFR swap spreads (bp), term funding premium (bp/year), and zero-duration spread (bp); 1/5/2026 – 6/11/2026

	Start	Change	End	Min	Mean	Median	Max	Range
2y	-16.5	2.6	-13.8	-19.2	-16.5	-16.7	-13.8	5.4
3y	-20.9	0.5	-20.4	-26.0	-22.0	-21.8	-19.7	6.3
5y	-26.9	-1.0	-27.9	-34.9	-29.1	-28.5	-25.0	9.9
7y	-33.8	-1.8	-35.6	-44.2	-37.3	-36.9	-31.1	13.2
10y	-38.5	-2.5	-41.0	-49.1	-42.7	-42.3	-35.0	14.1
20y	-63.2	-4.8	-68.0	-81.9	-69.5	-69.7	-57.3	24.6
30y	-68.4	-3.2	-71.6	-83.7	-73.4	-73.3	-62.8	20.9
TFP	3.9	0.5	4.4	3.5	4.3	4.5	5.2	1.7
ZDS	-9.5	1.7	-7.8	-12.8	-9.8	-10.1	-7.1	5.7

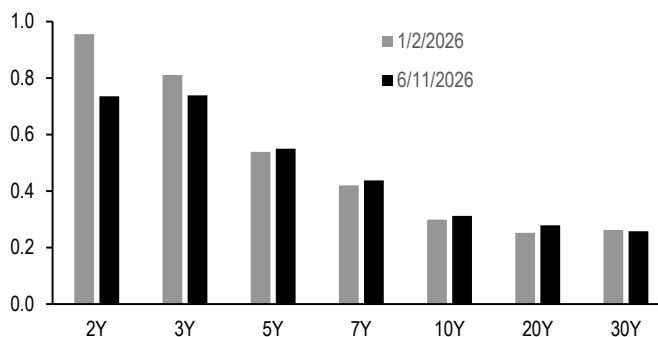
* Term funding premium (TFP) is defined as the negative of the slope of a regression of maturity-matched swap spreads versus modified duration in benchmark sectors (2Y, 3Y, 5Y, 7Y, 10Y, 20Y, and 30Y) on any given day

** Zero-duration spread (ZDS) is defined as the intercept from a regression of maturity-matched swap spreads versus modified duration in benchmark sectors (2Y, 3Y, 5Y, 7Y, 10Y, 20Y, and 30Y) on any given day

Source: J.P. Morgan

Figure 8: 2Y swap spreads have seen the largest decline in risk-adjusted pickup over IORB since the beginning of the year

Risk-adjusted* spread pickup over IORB for various swap spreads, 1/2/2026 and 6/11/2026



* We divide pickup over IORB as the 1Y annualized standard deviation of 3-month changes in each swap spread, adjusted by the respective duration

Source: J.P. Morgan

Taking a step back, there have been a few drivers of swap spreads (outside of geopolitical uncertainty) over the past few months that could also be impactful for the remainder of the year:

- **Carry-seeking strategies while the Fed is on hold:** As we mentioned above, the first two months of the year provided historically low delivered vol, an environment in which carry-seeking strategies became attractive. Looking ahead, if the geopolitical backdrop stabilizes, investors could start looking for carry again, and swap spreads could be an attractive place to express this view. However, as we noted in our latest note (see [9 to 5](#), Interest Rate Derivatives, *US Fixed Income Markets Weekly*, 6/5/2026), front-end swap spreads have slowly but steadily widened to SOFR +14bp levels, and despite the low volatility in front-end spreads, they no longer seem to be the most attractive for carry-seeking strategies, as risk-adjusted carry has declined significantly from the start of the year (**Figure 8**). Indeed, for carry-seeking strategies, we now recommend 3-5 year sectors, as they look attractive on a risk-adjusted basis and provide a positive slide up the spread curve as they age.
- **Kevin Warsh's appointment as the new Fed chair:** This month's FOMC meeting will be the first with new Fed Chair Warsh. There has been much focus on Warsh's stated desire for a smaller Fed balance sheet and the potential impact on swap spreads. We have previously discussed how a smaller Fed balance sheet would likely lead to narrower spreads and a flatter spread curve (see [18 minutes](#), 2/22/2026). However, as Warsh himself has said, shrinking the balance sheet will not happen overnight, and a significant reduction would likely need to be preceded by some regulatory changes (see below). The Fed is currently conducting RMPs at a rate of \$10bn per month. We assume that RMPs will continue at this pace to offset currency growth. Our year-end Fed balance sheet projection assuming this RMP schedule is shown in **Figure 9**.

Figure 9: We expect that at year end, Fed assets and reserves will be around \$6.8tn and \$3tn, respectively

Current* and projected total Fed balance sheet assets, RRP†, TGA, reserves, currency in circulation, and commercial bank deposits** through YE 2026; \$bn

End-of-the-month	Fed Assets	RRP			TGA	Reserves	CIC	Commercial Bank Deposits
		O/N RRP	Foreign RRP	Total RRP				
Current	6,763	6	319	325	876	3,104	2,466	19,208
Jun-26	6,771	5	320	325	900	3,081	2,473	19,249
Jul-26	6,781	5	320	325	900	3,084	2,480	19,312
Aug-26	6,791	5	320	325	900	3,087	2,487	19,374
Sep-26	6,801	5	320	325	950	3,040	2,494	19,396
Oct-26	6,811	5	320	325	950	3,043	2,501	19,459
Nov-26	6,821	5	320	325	950	3,046	2,508	19,521
Dec-26	6,831	5	320	325	950	3,049	2,515	19,584

* Current as of 6/4/2026 Fed H.4 release

** Deposits as of 6/5/2026 Fed H.8 release

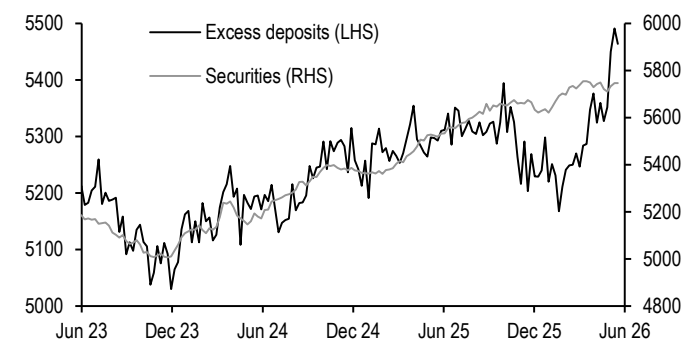
† Both ON and Foreign RRP are assumed to remain near current levels. O/N RRP is calculated as the difference between total RRP and foreign RRP

Source: J.P. Morgan, FRED, Federal Reserve H.4.1, Federal Reserve H.8

- Deregulatory backdrop:** B3E and GSIB proposals were submitted earlier in the year and are currently in the comment period. We discussed the implications of these changes in a previous note (see [Jokes Aside: GSIB and Basel III Endgame Update](#), I. Ozil and T. Ho, 4/1/2026). As we noted, while these proposals could be, on the margin, helpful for Treasury market liquidity and Treasury demand, we don't expect them to have a significant impact, as we expect banks to deploy capital relief into higher-ROE businesses. Looking ahead, based on comments from Vice Chair of Supervision Michelle Bowman and US Treasury Secretary Scott Bessent and Warsh's desire for a smaller balance sheet, liquidity reform could be next. We wrote about this topic in detail previously (see [Pane management: potential changes to liquidity regulation](#), 3/5/2026), noting that such reforms would be necessary to reduce the size of the Fed's balance sheet without causing disruptions to funding markets. However, such regulatory reform is likely to only have a modest impact on UST demand. Indeed, deposits have been growing over the past few months (thanks to RMPs), but securities demand has been muted (**Figure 10**), and capital relief is likely to impact loan growth more than UST demand. Our UST strategists wrote about their outlook for bank demand through the remainder of the year in *Treasuries*. Indeed, 1Q26 bank earnings have underscored solid upgrades to the loan growth outlook and improving asset quality (see [US Bank and Non-Bank Financials](#), Kabir Caprihan, 4/28/26), and despite excess deposits growing in the past few months, it could be that banks are waiting for better opportunities and/or uncertainty to pass before deploying excess cash into loans. Additionally, we have noted in the past how SLR relief in its current form is unlikely to result in material demand for Treasuries (for the same reasons as above) and that our preferred proposal would have excluded dealer holdings of Treasuries from the SLR calculation. Indeed, dealer holdings of USTs as a percentage of total marketable debt declined materially following the GFC and have been increasing slowly over the past few years (**Figure 11**). With the regulatory changes, we would expect this quantity to trend, on the margin, slightly higher.

Figure 10: Deposits have grown over the past few months, but securities demand has been relatively muted, as banks are likely waiting to deploy excess cash into loans

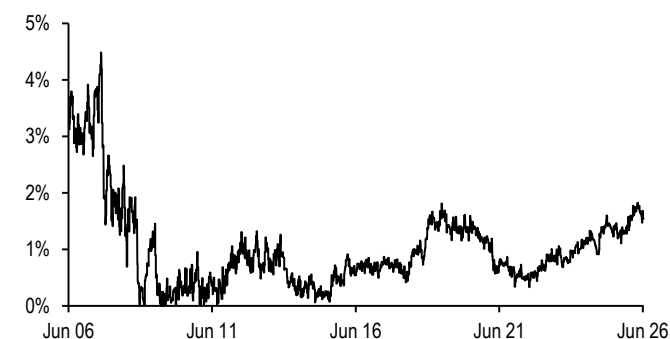
Commercial bank holdings of non-MBS Treasury and agency securities (right) versus excess deposits* (left); \$bn



* Deposits less loans
 Source: Federal Reserve H.8, J.P. Morgan

Figure 11: Dealer holdings of USTs as a share of total debt outstanding has been gradually rising over the past few years and could increase further with regulatory relief

Dealer holdings of USTs / total UST debt outstanding, past 20Y



Source: J.P. Morgan

- **Issuance expectations:** Treasury issuance was top of mind last year, as there was an expectation that Treasury would cut issuance sizes. Our UST strategists continue to look for increases in coupon auction sizes next year, beginning in February 2027, and they expect changes to the guidance in the next refunding announcement (see [May refunding preview](#), J. Barry, 4/27/2026). If the market's issuance expectations were to change, it could impact swap spreads again.

As we look ahead to the remainder of the year, we try to incorporate some of the above factors into how we think about the term structure of swap spreads. **We present our updated empirical fair value model for term funding premium in Figure 12**, which incorporates a few changes relative to our previous iteration. **First**, instead of the outright level of deposits, we use deposits in excess of loans to capture potential demand for securities. As we noted above, securities demand and excess deposits have been growing over the past few years; however, we expect excess deposits to decline from current levels as loan growth increases. **Second**, to capture the impact of risk premium, we now use 1Yx10Y implied volatility instead of 5Yx5Y implied vol. In a recent working paper by the Dallas Fed (see [Term Funding Premium—Time Is Money After All](#), S. Ramaswamy et al., 5/11/2026), the authors present why they view 1Yx10Y implied volatility as a measure of risk and how it can impact term funding premium; we incorporate 1Yx10Y implied vol into our model for this reason. It is important to note that term funding premium currently appears modestly elevated with respect to our empirical model due to the flattening of the spread curve over the course of the Middle East conflict, though much less so than earlier in the conflict (**Figure 13**). We assume that this residual will (at least partially) correct over the course of the year. However, we recognize the risk to this view that the geopolitical backdrop could persist and the residual could remain elevated. Outside of this, we expect the impacts of the drivers to be relatively muted. We expect waning securities demand, as well as the growth in net marketable debt, to pressure TFP slightly higher and the modest decline in WAM to pressure TFP slightly lower.

Figure 12: Our updated TFP fair value model

Statistics from regressing* term funding premium (bp/year)** versus its drivers*** (units as indicated), current (6/11/2026) and YE26 projected values for drivers of term funding premium, projected fair value and projected value† of TFP (bp/year), and impact†† of each driver on our projected fair value

Factor	Model info		Value of drivers		
	Coeff	T-stat	Cur.	YE26	Impact
Excess deposits (\$tn)	-0.6	-23.3	5.5	5.4	0.1
1Yx10Y implied vol (bp/day)	0.3	15.8	5.1	5.1	0.0
Treasury WAM (months)	0.1	6.6	71	70	-0.1
Net outstanding debt ex SOMA/Fed assets	0.5	18.6	3.9	4.1	0.1
Intercept	-0.6	-0.8			
R-sq	83%				
Std. error	0.3				
Term funding premium - fair value			4.2	4.3	
Term funding premium - actual			4.4		

* Regression period from Jun 2020 - Jun 2026

** Term funding premium (TFP) is defined as the negative of the slope of a regression of maturity-matched swap spreads versus modified duration in benchmark sectors (2Y, 3Y, 5Y, 7Y, 10Y, 20Y, and 30Y) on any given day

*** Excess deposits equals Fed commercial bank deposits minus loans and liabilities

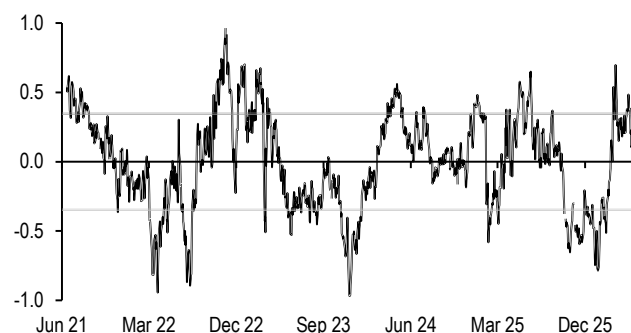
† We compute projected fair value using our projected drivers

†† Impact is defined as the projected change in each variable times the variable's partial beta in the above model

Source: J.P. Morgan

Figure 13: TFP is modestly elevated relative to our new fair value model

Residual between TFP and the fair value* from our updated model, past 5Y; bp/year



* TFP fair value is calculated as shown in the previous figure

Source: J.P. Morgan

Figure 14 shows our updated model for zero-duration spread. We have made the following changes to our model: **First**, we include monthly changes in T-bill supply to capture the impact of supply in the very front end. **Second**, we include the Fed balance sheet as an explicit factor to (i) capture demand from the Fed and (ii) proxy liquidity that's available to absorb supply. **Third**, we include dealer holdings as a percentage of total outstanding marketable debt. While we cannot explicitly forecast dealer holdings, we find that this variable can be a good proxy for balance sheet availability and the deregulatory backdrop, as dealers may be able to absorb more of the supply and have balance sheet capacity (Figure 11). All else equal, increased dealer holdings could be supportive for spreads on the margin. **Fourth**, we now use 1Yx1Y instead of 1Yx2Y implied vol to capture the very front-end risk premium. As the figure shows, **all factors point to a tailwind for ZDS, and we expect ZDS to drift modestly wider over the remainder of the year.**

Figure 14: Our updated zero-duration spread (ZDS) model

Statistics from regressing* zero-duration spread (bp)** versus its drivers (units as indicated), current (6/11/2026) and YE26 projected values for drivers of ZDS, projected fair value and projected value*** for ZDS (bp), and impact† of each driver on our projected fair value

Factor	Model info		Value of drivers		Impact
	Coeff	T-stat	Cur.	YE26	
T-bills outstanding, 1M % chg	-0.1	-3.4	2.1	-0.6	0.2
Fed B/S size (\$tn)	12.39	44.2	6.8	6.8	0.8
1Yx1Y implied vol (bp/day)	-2.09	-23.5	6.5	6.3	0.4
3Mx3M OIS (%)	2.9	25.3	3.7	3.8	0
Dealer holdings/total outstanding	9.5	15.5	1.7	1.9	2
Intercept	-107.8	-41.0			
R-sq	78%				
Std. error	2.9				
Zero-duration spread - fair value			-11.0	-8	
Zero-duration spread - actual			-7.8		

* Regression period from Jun 2021 - Jun 2026

** Zero-duration spread is defined as the intercept of a regression of maturity-matched swap spreads versus modified duration in benchmark sectors (2Y, 3Y, 5Y, 7Y, 10Y, 20Y, and 30Y) on any given day

*** We compute projected fair value using our projected drivers

† Impact is defined as the projected change in each variable times the variable's partial beta in the above model

Source: J.P. Morgan

Figure 15: We expect swap spreads to widen slightly by year end

Current (6/11/2026) maturity-matched swap spreads in various sectors (bp) and YE26 projections* assuming 50% and 100% residual convergence in TFP and ZDS**, as well as current and YE26 projections for TFP (bp/year) and ZDS (bp)

Maturity	Current	YE26	
		50% convergence	Full convergence
2Y	-13.8	-13	-14
3Y	-20.4	-18	-20
5Y	-27.9	-26	-27
7Y	-35.6	-34	-35
10Y	-41.0	-40	-41
20Y	-68.0	-66	-66
30Y	-71.6	-70	-71
TFP	4.2	4.4	4.3
ZDS	-7.8	-6.0	-7.6

* We assume that individual sectors' deviations from the term structure, which appear mean-reverting over our regression period, are equal to their 2-year mean values

** Term funding premium (TFP) and zero-duration spread (ZDS) are modeled as detailed in Figures 12 and 14

Source: J.P. Morgan

Figure 15 shows our projections for swap spreads. The deviations of swap spreads in each tenor from the term structure have been mean-reverting over the past two years and are small in magnitude; when projecting spreads, we assume that the deviations will be equal to their 2-year mean values. As the figure shows, **we expect swap spreads to be modestly (<2bp) wider at year end.** Given new Fed Chair Warsh's stated goal of shrinking the Fed balance sheet, it is worth re-emphasizing that a smaller Fed balance sheet would impact the term structure of swap spreads.

Options

Similar to swap spreads, implieds have had a volatile start to the year. They declined initially as markets repriced to reflect a Fed on hold in the near term and as delivered volatility reached historic lows, making carry-seeking gamma selling strategies attractive. However, concerns around AI and then the Middle East conflict resulted in implieds spiking, especially in shorter expiries. Overall, implieds are higher than where they started the year with the exception of 30-year tails, with 6Mx2Y higher by ~1.5bp/day and 3Yx10Y higher by ~0.1 bp/day (**Figure 16**). That said, these changes mask the wide range that implieds have traded in, as 6Mx2Y declined to less than 4bp/day in January and spiked to nearly 8bp/day in March, trading in a ~4bp/day range. Part of the spike in the upper left was due to the Middle East conflict, as the conflict resulted in the price of oil emerging as a driver of implieds (**Figure 17**; see also [Oil is the new principal component](#), Interest Rate Derivatives, *US Fixed Income Markets Weekly*, 5/8/2026).

Figure 16: Implieds are mostly higher across the surface, led by the upper left, and they have traded in wide ranges YTD

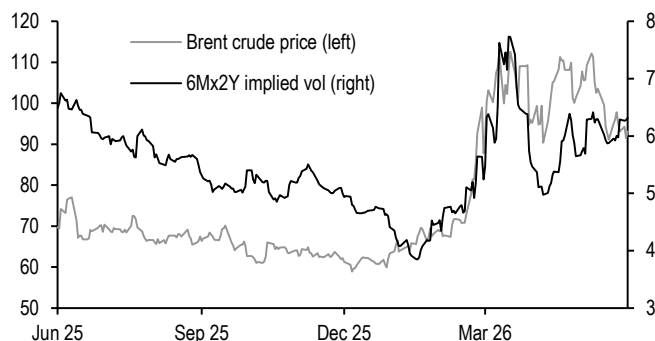
Selected statistics for implied volatility of various SOFR swaption structures, 1/2/2026-6/11/2026; bp/day

	Start	Change	End	Min	Mean	Median	Max	Range
6Mx2Y	4.74	1.47	6.21	3.85	5.43	5.47	7.73	3.88
6Mx5Y	4.83	0.69	5.53	4.20	5.20	5.17	6.85	2.64
6Mx10Y	4.63	0.26	4.89	4.18	4.76	4.69	5.89	1.71
6Mx30Y	4.40	-0.01	4.39	4.06	4.46	4.38	5.31	1.24
1Yx2Y	5.09	1.18	6.27	4.32	5.61	5.63	7.36	3.04
1Yx5Y	5.01	0.60	5.60	4.45	5.29	5.33	6.51	2.06
1Yx10Y	4.86	0.20	5.07	4.43	4.95	4.92	5.77	1.34
1Yx30Y	4.62	0.04	4.65	4.30	4.67	4.60	5.32	1.02
3Yx2Y	5.30	0.55	5.85	4.80	5.53	5.52	6.41	1.61
3Yx5Y	5.19	0.30	5.49	4.81	5.31	5.31	5.98	1.18
3Yx10Y	5.05	0.12	5.18	4.80	5.53	5.31	5.98	1.19
3Yx30Y	4.87	-0.02	4.85	4.55	4.82	4.78	5.28	0.73

Source: J.P. Morgan

Figure 17: Oil has been a significant driver of implied volatility since the beginning of the conflict

Brent crude prices (left, \$/bbl) and 6Mx2Y swaption implied volatility (right, bp/day), past 1Y



Source: J.P. Morgan.

Looking ahead to the remainder of the year, we expect the geopolitical backdrop (should it persist) to continue to be a risk to implieds as markets remain sensitive to newsflow. Nevertheless, in order to assess how the vol surface may evolve based on fundamental drivers, we make a few changes to our fair value framework while maintaining the core principles. **First**, we shorten our estimation window to better capture near-term dynamics. **Second**, in a similar vein, we assume a linear relationship with ATMF rates instead of an exponential backbone fitted over the past ten years to capture more recent vol-rate dynamics. **Third**, we include an inflation variable to capture the impact of inflation expectations on the vol surface. Our empirical models for the gamma sector (expiries 1Y and less) and the vega sector (expiries 2Y and above) are shown in **Figure 18** and **Figure 19**, respectively. We maintain these two different models because market depth impacts shorter and longer expiries to different degrees. Similarly, near-term Fed expectations appear to matter more for shorter expiries, whereas longer-term Fed expectations matter more for longer expiries.

Figure 18: Our empirical fair value model for the gamma part of the implied volatility surface

Statistics from regressing* SOFR swaption implied volatility against yields (%), natural log of duration-weighted market depth** (\$mn), magnitude of short-term Fed expectations*** (%), Fed balance sheet size (\$tn), and 1-year inflation swap rate (%)

	Coefficients						T-stats						Model fit	
	Intercept	ATMF	Log market depth	Mag. of Short-term Fed exp	Fed assets	1Y infl swap	Intercept	ATMF	Log market depth	Mag. of Short-term Fed exp	Fed assets	1Y infl swap	R-squared	Std. Err
6Mx2Y	-16.4	0.2	-1.2	1.6	3.8	0.9	-9.6	1.3	-12.5	3.9	13.8	13.0	80%	0.5
6Mx5Y	-8.1	0.8	-1.3	2.3	2.4	0.6	-7.6	7.9	-18.9	8.6	16.7	11.9	86%	0.3
6Mx10Y	-5.5	0.7	-1.4	1.7	2.2	0.4	-5.9	6.9	-25.2	8.6	22.2	10.4	87%	0.3
6Mx30Y	0.4	0.0	-1.3	1.0	1.6	0.4	0.3	-0.5	-25.2	6.4	16.0	11.1	84%	0.3
1Yx2Y	-12.3	0.9	-1.1	2.4	2.8	0.7	-10.8	9.0	-15.6	8.3	16.5	15.4	87%	0.3
1Yx5Y	-7.8	1.0	-1.2	2.2	2.2	0.5	-9.7	13.0	-22.4	11.1	21.9	14.3	89%	0.3
1Yx10Y	-5.7	0.8	-1.3	1.6	2.1	0.4	-7.2	10.0	-27.2	9.7	26.1	11.3	88%	0.2
1Yx30Y	-0.1	0.1	-1.1	0.9	1.5	0.4	-0.1	1.6	-25.8	7.0	16.8	12.0	84%	0.2

* Regression from June 2024 - June 2026

** Market depth is the size of the top 3 bids and offers by queue position, averaged between 8:30 - 10:30am daily. Duration-weighted market depth refers to the weighted sum of market depth in 2s, 5s, 10s, and 30s using weights of 0.25, 0.5, 1, and 2, respectively

*** Magnitude of short-term Fed expectations is defined as the absolute value of the 3Mx3M/6Mx3M OIS curve

Source: J.P. Morgan, BrokerTec, Federal Reserve H.4.1

Figure 19: Our empirical fair value model for the vega part of the implied volatility surface

Statistics from regressing* SOFR swaption implied volatility against yields (%), duration weighted market depth** (\$mn), Longer term fed expectations*** (%), Fed balance sheet size (\$tn), and 1-year inflation swap rate (%)

	Coefficients						T-stats						Model fit	
	Intercept	ATMF	Market depth	Long-term Fed exp	Fed assets	1Y infl swap	Intercept	ATMF	Market depth	Long-term Fed exp	Fed assets	1Y infl swap	R-squared	Std. Err
2Yx2Y	-21.4	0.6	-3.8	0.9	3.6	0.6	-17.7	13.0	-18.4	4.8	23.5	15.3	88%	0.3
2Yx5Y	-18.2	0.6	-4.0	1.0	3.2	0.5	-17.6	12.9	-23.1	6.6	24.4	14.4	89%	0.2
2Yx10Y	-16.2	0.5	-4.0	1.2	2.9	0.4	-16.3	10.3	-26.5	8.8	23.9	13.3	89%	0.2
2Yx30Y	-10.2	0.2	-3.4	1.1	2.2	0.4	-9.4	3.2	-23.9	8.6	16.6	14.2	84%	0.2
5Yx2Y	-12.9	0.6	-3.2	0.6	2.4	0.3	-15.4	14.4	-24.1	5.4	23.2	12.0	88%	0.2
5Yx5Y	-12.4	0.6	-3.1	0.8	2.3	0.3	-14.2	12.6	-24.5	6.7	21.9	12.0	86%	0.2
5Yx10Y	-11.5	0.5	-3.1	0.9	2.2	0.3	-12.3	9.5	-24.3	7.9	19.8	14.0	84%	0.2
5Yx30Y	-6.9	0.2	-2.6	0.8	1.6	0.3	-7.2	4.7	-20.9	7.8	14.0	15.3	78%	0.1

* Regression from June 2024 - June 2026

** Market depth is the size of the top 3 bids and offers by queue position, averaged between 8:30 - 10:30am daily. Duration-weighted market depth refers to the weighted sum of market depth in 2s, 5s, 10s, and 30s using weights of 0.25, 0.5, 1, and 2, respectively

*** Longer-term Fed expectations is defined as the 1Yx1Y/2Yx1Y OIS curve

Source: J.P. Morgan, BrokerTec, Federal Reserve H.4.1

Armed with these models, we can project our expectations for the evolution of the vol surface through year end. To do so, we make a few assumptions about the underlying drivers. **First**, we assume that the Fed balance sheet will evolve as shown in Figure 9. **Second**, we assume market depth will remain unchanged in 2H26. **Third**, we assume the 3Mx3M/6Mx3M curve will reflect our economists' forecast for the Fed rate path through YE27. **Fourth**, we assume that ATMF yields and the 1Yx1Y/2Yx1Y OIS curve will evolve as a function of our UST strategists' benchmark forecasts. **Fifth**, we assume that the 1Y inflation swap yield will evolve in line with our inflation strategists' forecasts. We also assume that 50% of the current residual of fair value model will persist through YE26. **Our projections are shown in Figure 20. In the upper left of the surface, we expect implieds to decrease from current levels, while we expect the upper right to remain relatively flat through 2H26.** However, it is worth noting that 2-year tails currently have large residuals, likely reflecting the risk premium associated with the geopolitical backdrop, which is a risk to our forecast. If the backdrop were to change, we could expect 2-year tails to decline even further to ~5.5 bp/day. **In longer expiries, we expect implieds to be biased slightly higher through 2H26.**

Figure 20: In 2H26, we expect implied volatility to decline from current levels in the upper left and to increase modestly in longer expiries

Current (6/11/2026) levels of implied volatility, residual*, and YE26 projected FV**: bp/day

	Actual	Current Residual	YE26 proj
6Mx2Y	6.2	1.0	5.9
6Mx5Y	5.5	0.4	5.5
6Mx10Y	4.9	0.2	4.9
6Mx30Y	4.4	0.1	4.4
1Yx2Y	6.3	0.6	6.2
1Yx5Y	5.6	0.3	5.6
1Yx10Y	5.1	0.1	5.1
1Yx30Y	4.7	0.1	4.6
2Yx2Y	6.0	0.7	6.2
2Yx5Y	5.6	0.5	5.7
2Yx10Y	5.1	0.4	5.3
2Yx30Y	4.8	0.4	4.9
5Yx2Y	5.6	0.4	5.7
5Yx5Y	5.4	0.4	5.5
5Yx10Y	5.2	0.4	5.3
5Yx30Y	4.9	0.3	4.9

* See the previous figure for details on our fair value model for swaption implied volatility

** YE26 fair value is calculated using the drivers shown in the above figures. We assume ATM yields change as a function of the yield projections from our UST strategists' forecast. Market depth is assumed to be unchanged from current levels, the Fed balance sheet is assumed to evolve as shown in Swap spreads, the Fed expectations curve is assumed to steepen in line with our economists' projections, and the 1y inflation swap rate is assumed to evolve in line with our inflation strategists' projections. We assume 50% residual convergence

Source: J.P. Morgan

The impact of presidential social media communications on rates markets volatility

As we discussed above, the first half of the year has been characterized by spikes in volatility, particularly associated with the ongoing Middle East conflict. A common market narrative is that some of the volatility in rates and other markets is driven by President Trump's propensity to deliver significant policy announcements and comment on geopolitical events and markets via social media. This method of instant, direct communication to a global audience marks a significant departure from previous administrations and greatly increases the potential for statements from the president to move markets compared with traditional communication channels. This method of communication was also employed by Trump during his first presidency, and we analyzed the effect of his social media posts on markets at that time ([Interest Rate Derivatives](#), *US Fixed Income Markets Weekly*, 9/6/2019), finding that the president's tweets had a statistically significant role in elevating implied volatility. Here, we update that analysis to quantify the impact of the president's social media posts on intraday interest rate volatility during his current term.

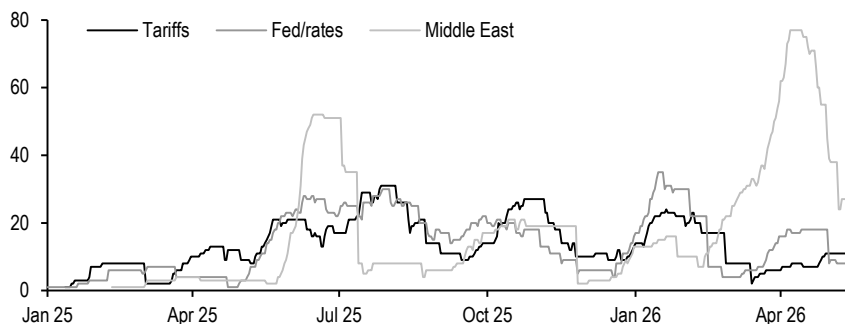
There are some important differences from the president's first term. In his first term, Trump utilized X (formerly Twitter) for his social media posts. This term, he predominantly uses his social network, Truth Social. This presents some difficulties for our analysis, as Truth Social does not have a public API via which we can pull posts. Instead, we rely on an account

that tweets the president's messages via X, usually including timestamps. Consequently, our dataset suffers from some issues, including incompleteness, the occasional incorrect timestamp, and a small number of gaps. While this is not ideal, we have confirmed that these issues are not severe, and we make do with what we have available.

The president posts about a wide variety of topics, both professional and personal. We have defined lists of words associated with some market-relevant topics: tariffs, the Middle East conflict, and the Fed/interest rates. We classify the president's posts based on whether they contain any of the words associated with a given topic (noting that some posts may fall into multiple categories). The president has posted frequently about each of these topics, and the rate at which he posts about them demonstrates how his attention has shifted over his second term (**Figure 21**).

Figure 21: President Trump posts prolifically about market-relevant topics, though his focus on particular issues tends to wax and wane

30-day rolling sum of social media posts from President Trump regarding various market-relevant topics, 1/16/2025 - 6/3/2026



Source: J.P. Morgan, X

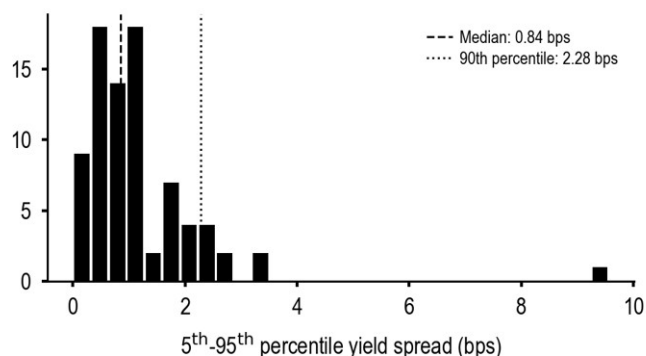
We use US Treasury primary dealer trade-level data from BrokerTec to quantify the volatility associated with a given post from the president. For each post, we compute the 5th-95th percentile range of the 2Y yield within 60 minutes of the post, hereafter referred to as the yield spread.

Given that the Middle East conflict has been the dominant driver of markets this year, in this preliminary analysis, we focus on posts about the Middle East. **Figure 22** shows the distribution of yield spreads (defined above) following posts about the Middle East that the president has made over the course of the conflict. **The figure shows that the president's posts are associated with significant intraday volatility: the median and 90th percentile yield spreads within 60 minutes after a given message are ~0.8 and 2.3bp, respectively, and one post is associated with a spread of almost 10bp.** This post is an example of a significant decision that was communicated via social media, as the president announced that he would pause strikes on Iranian energy infrastructure for 5 days.

The changes in 2Y, 10Y, and 30Y yields around the time of this post are shown in **Figure 23**. Yields fell sharply (2Y by ~4bp) in the 10 minutes after the post but then reversed course over the next ~30 minutes, with the 2Y yield rising to ~6bp above the initial yield at the time of the post. **This example demonstrates how markets can react swiftly and severely to the president's social media communications**, a topic that we will analyze in greater detail in a future note.

Figure 22: During the Middle East conflict, the president's social media posts about the conflict have been associated with significant rates volatility

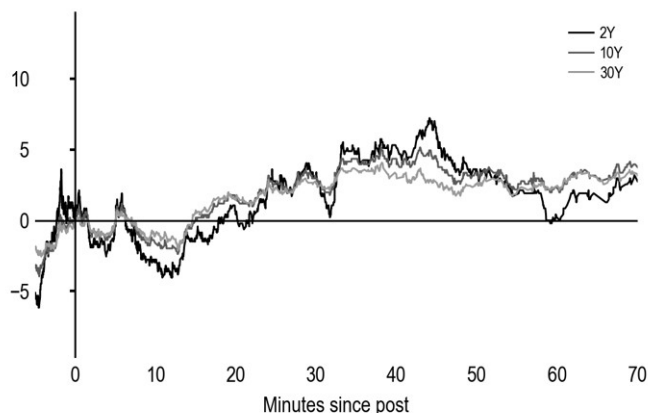
Distribution of 5th-95th percentile 2Y yield* spreads within 60 minutes of posts about the Middle East post the start of the conflict, 2/27/2026 - 6/3/2026



* We extract prices from trade-level UST primary dealer data
Source: J.P. Morgan, BrokerTec, X

Figure 23: Yields can change sharply in response to President Trump's social media posts about Iran

Yield changes* (bp) for 2Y, 10Y, and 30Y Treasuries relative to the time of a social media post** from the president at 7:23am on 3/23/2026 concerning Iran



* We extract prices from trade-level UST primary dealer data and compute price differences relative to the prices for the trades nearest the time of the post. We divide by the respective PVBPs to compute yield changes

** Full text of the post: "I AM PLEASED TO REPORT THAT THE UNITED STATES OF AMERICA, AND THE COUNTRY OF IRAN, HAVE HAD, OVER THE LAST TWO DAYS, VERY GOOD AND PRODUCTIVE CONVERSATIONS REGARDING A COMPLETE AND TOTAL RESOLUTION OF OUR HOSTILITIES IN THE MIDDLE EAST. BASED ON THE TENOR AND TONE OF THESE IN DEPTH, DETAILED, AND CONSTRUCTIVE CONVERSATIONS, WHICH WILL CONTINUE THROUGHOUT THE WEEK, I HAVE INSTRUCTED THE DEPARTMENT OF WAR TO POSTPONE ANY AND ALL MILITARY STRIKES AGAINST IRANIAN POWER PLANTS AND ENERGY INFRASTRUCTURE FOR A FIVE DAY PERIOD, SUBJECT TO THE SUCCESS OF THE ONGOING MEETINGS AND DISCUSSIONS. THANK YOU FOR YOUR ATTENTION TO THIS MATTER! PRESIDENT DONALD J. TRUMP"

Source: J.P. Morgan, BrokerTec, X

Trade Recommendations

- **Maintain 6Mx5Y swaption straddles coupled with a vega-neutral amount of longs in 6Mx10Y swaption straddles**
P/L on this trade is currently -1.4abp. For the original trade write up, see [US Fixed Income Markets Weekly 2026-06-02](#).
- **Maintain 1:0.7 risk-weighted 10s/30s maturity-matched swap spread curve steepeners**
P/L on this trade is currently 1bp. For the original trade write up, see [US Fixed Income Markets Weekly 2026-06-02](#).
- **Maintain 3M forward 2s/30s swap yield curve steepeners paired with 2Y forward 2s/30s swap yield curve flatteners**
P/L on this trade is currently -2.2bp. For the original trade write up, see [US Fixed Income Markets Weekly 2026-06-02](#).
- **Maintain A/A-25bp/A-50bp 3Mx2Y receiver swaption butterflies**
P/L on this trade is currently 0.1 bp. For the original trade write up, see [US Fixed Income Markets Weekly 2026-05-15](#).
- **Maintain A+100 2Yx10Y payer swaptions versus selling at-the-money forward 2Yx10Y payer swaptions, delta-hedged daily**
P/L on this trade is currently -0.6abp. For the original trade write up, see [US Fixed Income Markets Weekly 2026-02-20](#).
- **Maintain longs in 10Yx10Y swaption straddles, delta hedged daily**
P/L on this trade is currently -2.7 abp. For the original trade write up, see [US Fixed Income Markets Weekly 2025-12-12](#).

Closed trades over the past 12 months

P/L reported in bp of yield for swap spread, yield curve and misc. trades and in annualized bp of volatility for option trades, unless otherwise specified

Note: trades reflect Thursday COB levels, and unwinds reflect COB levels on unwind date

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Global Markets Strategy

12 June 2026

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Trade	Entry	Exit	P/L
Spreads and basis			
Pay fixed in 3.75% Aug 2027 maturity matched swap spreads	5/16/2025	6/27/2025	(0.2)
Initiate 7s/10s maturity-matched swap spread curve steepeners	6/27/2025	7/11/2025	1.0
Initiate 5Y maturity-matched swap spread narrowers	7/8/2025	8/1/2025	(4.2)
Initiate 10s/30s maturity matched swap spread curve flatteners	7/11/2025	8/1/2025	1.2
Initiate 7s/20s swap spread curve flatteners hedged with 15% risk in a 7s20s UST curve flattener	7/11/2025	8/1/2025	0.5
Initiate maturity-matched 3.875% Feb 2043 / 3% Feb 2049 swap spread curve flatteners (0.8:1 weighted)	6/6/2025	8/22/2025	(3.3)
Initiate 2Y maturity-matched swap spread wideners	8/15/2025	9/5/2025	0.0
Initiate 2s/5s maturity-matched swap spread curve flatteners	8/15/2025	9/12/2025	0.0
Initiate a 4.625% Jun 2027 / 4.375% Jul 2027 swap spread curve flattener (1:0.9 weighted)	7/11/2025	9/19/2025	(2.9)
Initiate 7s/10s maturity-matched swap spread curve steepeners	9/5/2025	9/19/2025	1.1
Initiate maturity-matched 30-year swap spread narrowers	9/12/2025	10/7/2025	(6.2)
Initiate maturity-matched swap spread wideners in the 3Y sector	10/3/2025	10/14/2025	2.0
Initiate 5s/30s maturity-matched swap spread curve flatteners	10/17/2025	11/5/2025	0.2
Initiate 30Y swap spread narrowers hedged with a 10% risk-weighted long in 30Y UST rates	10/17/2025	12/12/2025	(6.1)
Initiate 2s/10s maturity-matched swap spread curve flatteners	12/12/2025	1/9/2026	(2.6)
Initiate 3s/5s maturity-matched swap spread curve flatteners	10/3/2025	1/21/2026	0.1
Initiate 2s/3s maturity matched spread curve flatteners	10/31/2025	1/21/2026	0.1
Initiate 10s/30s maturity-matched swap spread curve flatteners	1/30/2026	2/6/2026	0.9
Initiate 2s/10s maturity-matched swap spread curve flatteners	2/20/2026	2/27/2026	1.9
Initiate 2s/30s maturity-matched swap spread curve steepeners	3/17/2026	3/20/2026	(7.0)
Initiate 7s/10s maturity-matched swap spread curve flatteners	3/27/2026	5/1/2026	0.3

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Global Markets Strategy
Interest Rate Derivatives
12 June 2026

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Duration and curve	Entry	Exit	P/L
Initiate 5M fwd 2s/5s conditional bull steepeners	03/21/25	06/13/25	(1.7)
Initiate Z5/M6 3M SOFR futures flatteners paired with 70% risk in H6/H7 3M SOFR futures curve steepeners	06/06/25	06/27/25	6.6
Initiate 6Mx3M/3Mx1Y (0.8:1 weighted) swap yield curve steepeners	06/27/25	07/08/25	2.8
Sell the belly of a 3M forward 3s/5s/20s swap yield curve butterfly (0.75:-1:0.35 weighted)	05/09/25	07/11/25	(6.0)
Initiate 9M fwd 3s/7s swap curve steepeners	06/27/25	07/16/25	1.5
Initiate 18M fwd 10s/30s swap curve flatteners	06/27/25	07/16/25	(2.2)
Initiate 2Yx1Y / 3Yx2Y swap yield curve steepeners (0.5:1.0 weighted) vs a 55% risk weighted long in 2Yx10Y swaps	07/11/25	07/16/25	1.9
Buy the belly of a U5/Z5/H6 3M SOFR futures butterfly (-0.45:1:-0.60 risk weighted)	03/28/25	07/25/25	(2.3)
Initiate 6Mx3M/3Mx1Y (0.8:1 weighted) swap yield curve steepeners paired with 20% risk-weighted long in 3Mx2Y swaps	06/27/25	07/25/25	0.2
Initiate Reds/Greens conditional bull steepeners using 6M expiry midcurve receivers	07/25/25	08/01/25	2.4
Sell the belly of a H6/H7/M7 3M SOFR futures butterfly (0.15:-1:0.90 risk weighted)	05/30/25	08/05/25	0.4
Initiate 6M forward 1s/7s conditional bull steepeners	07/11/25	08/22/25	0.4
Initiate Greens/Golds conditional bear flatteners (0.87:1.0 weighted) using 3M expiry midcurve payers	08/15/25	08/22/25	1.5
Initiate 1Y fwd 2s/7s flatteners (1:0.75 weighted)	08/15/25	08/22/25	(4.2)
Initiate 3M forward 5s/15s flatteners with 85% of the risk in 2Y fwd 1s/7s steepeners	07/25/25	09/04/25	(7.9)
Sell the belly of a 1Y forward 2s/10s/30s swap yield curve butterfly (0.38:1:0.63 weighted)	08/01/25	09/05/25	(7.3)
Initiate M6/M8 conditional bull steepeners using M6 3M SOFR future calls and M6 2Y midcurve calls	09/04/25	09/05/25	2.5
Initiate 12Mx3M / 27Mx3M flatteners paired with an 80% risk-weighted 6Mx1Y / Greens steepener	09/05/25	09/26/25	1.1
Initiate Greens / 3Mx5Y (0.7:1.0 weighted) steepeners	09/10/25	09/26/25	4.8
Initiate Z6/Z7 conditional bull steepeners using Z5 1Y midcurve calls and Z5 2Y midcurve calls	09/26/25	10/03/25	2.0
Sell the belly of a 3M forward 5s/10s/30s swap yield curve butterfly (0.53:-1:0.53 weighted) to asymmetrically position for a shallower easing cycle	07/11/25	10/17/25	(3.0)
Initiate 3Mx2Y 1x2 receiver spreads	09/12/25	10/17/25	2.9
Initiate Greens / 3Mx5Y (0.7:1.0 weighted) steepeners paired with a 25% risk-weighted long in 3Mx10Y swaps	09/10/25	10/29/25	1.3
Pay in 3Mx2Y and 3Mx5Y swaps (1:0.33 weighted) versus receiving in 1Yx1Y	10/03/25	10/29/25	2.0
Initiate 1s/10s conditional bear flatteners using 3M expiry payer swaptions	10/17/25	10/29/25	7.7
Initiate 3M fwd 3s/20s conditional bull steepeners financed by selling 10% of the risk in 3Mx2Y receiver swaptions	10/31/25	12/12/25	4.0
Initiate 1s/7s conditional bear flatteners using 3M expiry payer swaptions	11/14/25	12/12/25	(7.0)
Initiate conditional 3M fwd 2s/5s flatteners via payer swaptions	12/19/25	01/06/26	(0.1)
Initiate H6/Z6 steepeners paired with 3M forward 1s/2s flatteners (0.5:1.0 weighted)	09/19/25	01/09/26	(1.4)
Initiate 2Y forward 3s/20s swap yield curve steepeners vs 90% risk-weighted 3M forward 5s/30s flatteners	10/03/25	01/09/26	(2.6)
Initiate 3Yx2Y/3Mx7Y swap yield curve steepeners (0.75:1 weighted) coupled with a 30% risk-weighted long in 3M fwd 10Y swaps	12/12/25	01/09/26	0.7
Initiate 2Y fwd 2s/30s swap yield curve steepeners vs 100% risk-weighted 3M fwd 2s/30s flatteners	12/12/25	01/09/26	1.0
Initiate 6Mx10Y 1x2 payer spreads	01/09/26	01/23/26	0.3
Initiate 18M forward 5s/20s swap yield curve steepeners	01/30/26	02/06/26	0.1
Sell the wings and buy the belly of a Z6/Z7/Z8 3M SOFR futures butterfly (-0.5:1:-0.5 weighted)	10/23/25	02/06/26	0.0
Initiate Greens/Blues (0.5:1.0 weighted) flatteners paired with a 60% risk-weighted short in 3Mx5Y swaps	01/30/26	02/20/26	2.5
Initiate weighted (1:0.45) 1Yx1Y/3Mx7Y flatteners coupled with a 55% weighted long in 3Mx5Y swaps	02/06/26	02/20/26	4.3
Receive fixed in 4Yx1Y swaps while paying 45% of the risk in 1Yx3Y swaps and paying 60% of the risk in 5Yx2Y swaps	02/06/26	02/20/26	4.6
Initiate 3Mx5Y 1x2 payer spreads	02/20/26	03/06/26	(0.7)
Receive-fixed in 12Mx3M swaps coupled with paying 100% of the risk in 9Mx3M swaps and 60% percent of the risk in 2Yx1Y swaps	02/20/26	03/06/26	0.7
Buy the belly of a 40:60 weighted U6/H7/U7 SOFR futures butterflies	02/27/26	03/06/26	(6.1)
Initiate 50:50 weighted 3s/10s/30s conditional bear belly cheapening flies using 1M expiry payer swaptions	02/27/26	03/27/26	2.2
Initiate a U6/Z6/M7/M8 3M SOFR futures box trade (-0.6/1/-0.63/0.28 weighted)	05/15/26	06/05/26	(2.5)

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Global Markets Strategy

12 June 2026

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Options	Entry	Exit	P/L
Buy 2Yx2Y straddles versus 10Yx10Y straddles, hedged with a 130% vega weighted short in 3Yx3Y swaption straddles, and add a short duration overlay by paying a suitable amount in 3Yx3Y forward swap	05/02/25	06/27/25	(7.2)
Sell 1Y forward 1Yx30Y volatility, synthetically constructed via suitably weighted 2Yx30Y and 1Yx30Y swaptions	05/09/25	06/27/25	0.6
Buy 6Mx5Y versus a vega neutral amount of 6Mx7Y swaption straddles	05/30/25	06/27/25	(0.2)
Sell 1Yx2Y swaption straddles versus buying a vega-neutral amount of 2Yx2Y swaption straddles	06/27/25	07/11/25	1.6
Buy 5Yx2Y versus a vega neutral amount of 10Yx10Y swaption straddles	05/30/25	07/16/25	(5.4)
Sell 3Mx2Y straddles versus buying a vega-neutral amount of 9Mx2Y straddles	07/16/25	07/25/25	0.0
Initiate longs in 6Mx10Y swaption straddles, delta-hedged daily	07/25/25	08/01/25	(2.5)
Sell 50% of the vega risk in 1Yx2Y swaption straddles versus buying 2Yx2Y swaption straddles	06/27/25	08/01/25	(5.5)
Buy 6Mx5Y swaption straddles versus selling a theta neutral amount of 6Mx30Y swaption straddles	08/01/25	08/22/25	(4.0)
Sell 70% of the vega risk in 6Mx2Y swaption straddles versus buying 6Mx5Y swaption straddles	08/05/25	08/22/25	(5.4)
Initiate shorts in 6Mx2Y swaption straddles, delta hedged infrequently	08/22/25	09/04/25	0.7
Buy 1Yx5Y A+100 minus A swaption payer skew	07/11/25	09/10/25	0.6
Initiate longs in 1Yx10Y swaption straddles, delta-hedged daily	08/15/25	09/10/25	(8.1)
Buy 3Yx10Y swaption straddles versus selling 85% of the vega risk in 2Yx30Y swaption straddles	08/01/25	09/12/25	(4.5)
Initiate longs in 10Yx10Y swaption straddles and receive fixed in 10Yx10Y swaps to hedge directional exposure	09/04/25	09/12/25	(5.6)
Initiate shorts in 3Mx2Y swaption straddles versus a gamma-neutral amount of longs in 3Mx10Y swaption straddles	09/10/25	09/19/25	4.4
Sell 6Mx2Y swaption straddles, delta hedged weekly	09/19/25	10/03/25	0.4
Initiate longs in 6Mx30Y swaption straddles, delta-hedged daily	10/17/25	10/29/25	(8.1)
Sell 6Mx5Y swaption straddles on a delta-hedged basis coupled with a weighted short in S&P 500 futures	09/19/25	11/05/25	1.7
Sell 6Mx2Y swaptions straddles versus buying a gamma-neutral amount of 6Mx30Y swaption straddles	10/31/25	11/14/25	(4.2)
Sell 10Yx3Y swaption straddles versus a vega neutral amount of 5Yx20Y swaption straddles	09/19/25	12/19/25	(2.0)
Initiate shorts in 1Yx10Y swaption straddles, delta-hedged infrequently	01/09/26	01/20/26	1.7
Initiate longs in 6Mx2Y straddles versus a gamma-neutral amount of 6Mx5Y straddles	12/19/25	02/13/26	1.7
Sell 1Yx2Y swaption straddles vs. buying a vega-neutral amount of 2Yx2Y swaption straddles, delta-hedged daily	02/20/26	02/27/26	(3.0)
Buy 6Mx10Y straddles versus a vega-neutral amount of 1Yx10Y straddles	12/19/25	04/17/26	(8.5)
Initiate longs in 6Mx2Y straddles vs. a gamma-neutral amount of shorts in 6Mx30Y straddles	04/17/26	04/29/26	11.7
Buy 6Mx5Y swaption straddles on a delta-hedged basis coupled with a weighted long in S&P 500 futures	04/17/26	04/29/26	8.9
Sell 3Mx30Y swaption straddles vs. buying a vega-neutral amount of 1Yx30Y swaption straddles	05/06/26	05/29/26	2.9
Sell 6Mx2Y swaption straddles, delta-hedged daily, coupled with a risk-weighted long in oil futures	05/29/26	06/04/26	1.3
Treasury Futures	Entry	Exit	P/L
Buy the FVU5 factor weighted CTD basis with repo termed out to 9/2/2025	5/9/2025	9/4/2025	0.1
Initiate calendar spread narrowers in WN futures	2/18/2026	2/27/2026	(1.9)
Total number of trades			95
Number of winners			56
Hit rate			59%

Recent Weeklies / Mid-Week Updates	
05-Jun-26	9 to 5
04-Jun-26	Interest Rate Derivatives Trade Update
02-Jun-26	Sell you twenty barrels worth
15-May-26	...and a bevy of doves leaves the bar...
08-May-26	Oil is the new principal component
06-May-26	Wider spreads? For lower vol? Groundbreaking
01-May-26	Three hawks and a dove walk into a bar...
29-Apr-26	Post-FOMC rates update: I won't see you next time
24-Apr-26	Dog days are over?
22-Apr-26	18 minutes
17-Apr-26	Abracadabra
15-Apr-26	A benign tax season for the money markets
10-Apr-26	Black and blue, and who knows which is which
09-Apr-26	Dark side of the moon
27-Mar-26	There ain't no easy way out
20-Mar-26	It starts with an earthquake
18-Mar-26	Post-FOMC rates update: Hawkish and humble
17-Mar-26	Interest Rate Derivatives Trade Update
13-Mar-26	Burning the midnight oil
10-Mar-26	Non-laminar flows
06-Mar-26	Writing's on the vol
03-Mar-26	High viscosity
27-Feb-26	Winterlong
20-Feb-26	When you lose something you can replace
18-Feb-26	Treasury Futures March - June Rollover Outlook Summary
13-Feb-26	Interest Rate Derivatives Trade Update
06-Feb-26	Second and goal
04-Feb-26	Interest rate derivatives post-refunding announcement update
30-Jan-26	Never gonna give you up, never gonna let you down
29-Jan-26	Dollars and cents
28-Jan-26	"I have nothing for you"
23-Jan-26	If I'm not back again this time tomorrow, carry on
21-Jan-26	180 Degrees
13-Jan-26	The potential impact of GSE buying on swap spreads
09-Jan-26	Happy new year?
19-Dec-25	How the Grinch stole volatility
12-Dec-25	Do you want to build a snowman?
10-Dec-25	Post-FOMC rates update: To and fro the pendulum throws
14-Nov-25	Nothin' lasts forever, even cold November rain
05-Nov-25	No alarms and no surprises
31-Oct-25	Trick and treat
29-Oct-25	No foregone conclusions
24-Oct-25	Numbers add up to nothin'
23-Oct-25	Interest Rate Derivatives Trade Update
17-Oct-25	It still moves
14-Oct-25	Chair Powell moves spreads
08-Oct-25	What's going on with swap spreads
03-Oct-25	Sorry folks, park's closed
01-Oct-25	US Government shutdown implications for derivatives markets
26-Sep-25	(TGCR) could be the one
19-Sep-25	Through the windshield
12-Sep-25	The time to hesitate is through
10-Sep-25	De Sitter's balloon
05-Sep-25	Wake me up when September Ends
04-Sep-25	Honey deuce
22-Aug-25	Chair Powell, Sir
15-Aug-25	It is all coming back to me now
05-Aug-25	Interest Rate Derivatives Mid-Week Update
01-Aug-25	In the wake of the storm
30-Jul-25	Whoa, we're halfway there
25-Jul-25	Marble not yet carved
23-Jul-25	Drop by drop, a lake forms
16-Jul-25	Stop and stare

11-Jul-25	Headed for another five-setter?
08-Jul-25	Picking up the bill
27-Jun-25	Spreads (don't) Love Reform

Outlooks	
25-Nov-25	Interest Rate Derivatives 2026 Outlook: Just keep on rolling under the stars
Recent Special Topic Pieces	
12-May-26	US Bond Futures Rollover Outlook June 2026 / September 2026
01-Apr-26	Jokes Aside: GSIB and Basel III Endgame Update
05-Mar-26	Pane management: potential changes to liquidity regulation
12-Feb-26	US bond futures rollover outlook: March 2026 / June 2026
08-Jan-26	The one with swap spreads
12-Nov-25	SLR Reform Update
06-Nov-25	US bond futures rollover outlook: December 2025 / March 2026
22-Oct-25	When the facts change, I change my mind
17-Sep-25	Corporate tax day that wasn't
12-Aug-25	US bond futures rollover outlook: September 2025 / December 2025
18-Jun-25	SLR Reform Update: Waiting with bated breath

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